Twitter Blue prices are here
The price for the subscription for Apple iPhone users has been revealed to be ₹999. **https://dgit.in/dec22-55**

Spotify rewards Premium mini subs
Spotify is now offering a rewards program to Premium Mini subscribers. **https://dgit.in/dec22-56**

like Ahmedabad, Hyderabad, Indore, Kochi, Gangtok, Shimla, Patna, and Guwahati being next on the list. The RBI has empowered four banks to help process digital payments, namely ICICI Bank, State Bank of India, IDFC Bank, and Yes Bank. HDFC Bank, Kotak Mahindra Bank, Union Bank, and the Bank of Baroda will also be joining the program. The pilot program is akin to a beta test - the RBI wants to use this to weed out potential operational issues and identify common roadblocks before making the digital rupee available throughout the country.

WHAT IS THE DIFFERENCE BETWEEN CRYPTOCURRENCY AND THE E₹-R?

While both, cryptocurrency and the e₹-R represent digital tokens, at its heart, cryptocurrency represents a specific ideology – the need for decentralisation. This means that private cryptocurrencies are not answerable to central banks or the Government. Moreover, they offer a fair degree of anonymity – if one were to share tokens with another individual, the payment would be untraceable. This is where things can get murky.

According to the RBI, the e₹-R offers greater benefits than cryptocurrency as it requires a certain level of accountability to be built into the system. Without anonymity and decentralisation, the e₹-R can be more effective in preventing terror funding, increasing transparency, and facilitating secure transactions throughout the country. Explaining the difference between cryptocurrency and the CBDC, the RBI said “Unlike cryptocurrencies, a CBDC isn’t a commodity or claims on commodities or digital assets. Cryptocurrencies have no issuer. They are not money (certainly not currency) as the word has come to be understood historically”. It is important to understand that one can exchange the digital rupee for cash. This may not be the case with cryptocurrencies in India as they are not legal. Another factor to consider is that cryptocurrencies are liable to a 30 per cent tax, however, the same is not applicable to the digital rupee.

SO, HOW IS THE CBDC DIFFERENT FROM UPI PAYMENTS?

From a consumer’s perspective, it is fair to say that UPI and the digital rupee sound fairly similar. After all, in both cases, one just needs to scan a QR code, pay, and move on, right? Well, not exactly. When you make a transaction at, say, a grocery store, you receive a notification informing you that the cash has been deducted from your account. At the same time, you may hear the merchant’s machine pipe up and confirm that the same amount has been credited to them. However, in reality, these notifications merely exist to inform both, the customer and merchant, of the transaction’s intent. The actually monetary transaction, that is, the transfer of money from your bank to the merchant’s bank, takes place at the end of the day (or at specific intervals during the day). Consider the following example to understand this. Let’s say customers with accounts at ICICI Bank have made UPI payments worth ₹100 Crores to customers with HDFC accounts. Over the course of the same day, customers with HDFC bank accounts made transactions worth ₹50 Crores to customers with an ICICI bank account. Instead of making each and every payment individually, ICICI Bank will simply pay ₹50 Crores at the end of the day to HDFC. In other words, banks simply pay each other the difference owed once the day ends (or at fixed intervals). This will not be the case with the digital rupee.

UNIFIED PAYMENTS INTERFACE

Digital rupee tokens will be debited from the sender’s account and credited to the receiver’s account at the time of the transaction, just like a cash transaction. When you pay someone cash, a bank does not need to feature in the middle of the transaction for it to be valid.

WHY DIDN’T THE GOVERNMENT JUST USE AN EXISTING CRYPTOCURRENCY?

As far as the government bodies are concerned, the biggest threat that came with using existing cryptocurrencies lies in their decentralised nature. The idea of handing over the economic power of a nation to an unregulated body would seem absurd for any ruling power, especially when you consider that public Blockchain systems can be used for nefarious purposes and may be a security hazard. The same was demonstrated when over 200 transactions facilitated by three Indian cryptocurrency exchanges contributed to large-scale drug trade worth ₹28,000 crore. Creating a digital currency that still falls within the purview of the government ensures accountability, and a sense of security for citizens. While cryptocurrencies are volatile, the digital rupee will present no such risk to citizens as it will be tied to the value of the existing rupee.

THE FUTURE OF THE INDIAN ECONOMY?

While the digital rupee has caused a lot of speculation about what India’s economic future can look like, the truth is that it has not been created to replace paper money. One must remember that only 47 per cent of citizens in India use the internet, and while telecom companies are striving to bring the internet to new markets, we are still a long way from 100 per cent internet penetration, and, the kind of financial literacy that’s required to understand digital transactions. The introduction of 5G will certainly speed this process up.

However, we cannot expect to see an entirely digital economy in India anytime soon. So, things may take some time for the e-Rupee to be ubiquitous in India. d